

Portfolio Update – 28th February 2025

Below is a summary of our Tactical Asset Allocations for Q1 2025, this impacts our individual asset class sleeves, and Active / Dynamic SMA's. For additional information refer to the Atchison Tactical Asset Allocation Paper Q1 2025, which can be found on the Wattle Portal.

Q1 2025 - TACTICAL ASSET ALLOCATION

1. Increase **underweight to Australian equities** – due to weaker economic growth, limited 2025 interest rate cuts, waning commodity demand, profit taking from major Australian banks and stretched technology company valuations.
2. Increase allocation to **International Equities**
 - a. US mid-caps look attractive, whilst we maintain current exposure to US large caps. Earnings resilience, AI-driven structural growth, a deregulatory government agenda, and pockets of reasonable valuations support US markets.
 - b. Increase allocation to Japanese equities – Japanese banks and mid-cap companies attractively priced.
 - c. Preference for unhedged equities, given anticipated USD strength driven by tariffs, protectionist policies, and shift toward US economic nationalism.
3. **Neutral on alternatives** – provides diversification, and uncorrelated returns. Atchison will increase allocation when appropriate, with a focus on more growth orientated funds. Long / Short strategies have been reclassified within the Alternatives Sleeve.
4. **Underweight real assets** due to heightened financing costs and slowing economic growth. AREITs have already seen significant price appreciation, limiting further upside. Infrastructure has been a laggard, and we see better opportunities in other asset classes.
5. **Cautious stance on duration** reflects a preference for reduced exposure to interest rate sensitivity, given uncertainty around the timing and magnitude of central bank rate cuts and government policy. Trump-driven policies including tariffs, trade restrictions, infrastructure / energy spending, immigration restrictions, pose inflationary risks.
6. **Overweight Floating Rate assets**. Strong corporate balance sheets and near-term fiscal stimulus across major developed markets provides support for investment grade and high yield bonds.

AUSTRALIAN SHARES SLEEVE

Please see rebalance changes below:

Fund	Current Weight	Proposed Weight
IOZ – iShares Core S&P/ASX 200 ETF	52.35%	30.00%
Merlon Concentrated Australian Share Fund	6.06%	12.50%
Greencape High Conviction Fund	14.33%	6.25%
Schroder Australian Equity Fund W Class	13.18%	0.00%
Australian Eagle Trust	6.83%	0.00%
Ausbil Australian Small Cap Fund	3.92%	10.00%
Invesco W/S Australian Small Companies Fund	3.33%	10.00%
Invesco Wholesale Australian Share Fund	0.00%	25.00%
Hyperion Australian Growth Companies Fund	0.00%	6.25%

- Reduce passive **IOZ** exposure, favouring **Invesco WS Australian Share Fund**, which can actively capitalise on easing cost pressures and rate cuts through selective sector and stock positioning. Invesco utilise fundamental and active quant investing strategies. Additionally, a favourable rebate has been negotiated for this strategy.
- Reducing active single manager growth risk through reducing **Greencape High Conviction** and adding **Hyperion Australian Growth Companies**.
- Decrease value allocation by removing **Schroder Australian Equity Fund W Class**.
- Re-classifying long short strategies to the Alternatives sleeve. Hence, removed **Australian Eagle Long-Short Fund**.
- Increase Australian small caps exposure due to expected earnings uplift and share price appreciation through **Invesco Small Companies** and **Ausbil Small Cap Fund**.
- Increase exposure to **Merlon Concentrated Fund**, a contrarian high conviction value manager.

Fee Analysis – Australian Shares

- Similar management fee structure for an increase in active management and expected performance, whilst reducing performance fee component. Refer to CFS and HUB PDS for fee analysis.

ALTERNATIVES SLEEVE

Please see rebalance changes below:

Fund	Current Weight	Proposed Weight
VanEck Global Listed Private Equity ETF	12.61%	15.00%
Talaria Global Equity Fund Wholesale Fund	14.68%	15.00%
P/E Global FX Alpha Fund	4.40%	8.00%
Franklin K2 Athena Fund	17.27%	17.00%
CT Pyrford Global Absolute Return Fund	17.27%	17.00%
Ruffer Total Return International Aus Fund	16.84%	0.00%
Invesco Wholesale Senior Secured Income Fund	4.49%	8.00%
iShares Physical Gold ETF	12.44%	12.00%
Core Cash ETF	0.00%	8.00%

- **Ruffer Total Return International Australian Fund** is scheduled to be wound up on 17 April 2025. Redemption proceeds to be split between **VanEck Private Equity, PE Global FX Alpha, Invesco Senior Secured Income, BILL Core Cash ETF**.

Fee Analysis – Australian Shares

- Marginal reduction in management fee and maintaining existing performance fee. Refer to CFS and HUB PDS for fee analysis.

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